8. INCOME TAXES

The Company is subject to United States income taxes, Canadian income taxes (to the extent of its operations in Canada) and UK income taxes (to the extent of its operations in the UK). The Company had no income tax expense during the reported period due to net operating losses.

A reconciliation of income tax expense to the amount computed at the statutory rates is as follows:

	2010	2009
Loss for the year	$ (123,849)	$ (60,062)
Average statutory tax rate	35%	35%
Expected income tax provision	$ (43,347)	$ (21,022)
Unrecognized tax losses	43,347	21,022
Income tax expense	$ --	$ --

Significant components of deferred income tax assets are as follows:

	2010	2009
Net operating losses carried forward	$ 103,994	$ 60,647
Valuation allowance	(103,994)	(60,647)
Net deferred income tax assets	**$** -	**$** -

The increase in the valuation allowance for the year ended March 31, 2010 was $43,347 because there is no assurance the Company will be able to utilize the losses carried forward.

The Company has net operating losses carried forward of approximately $297,000 for tax purposes which will expire in 2027 through 2029 if not utilized.

The years ended March 31, 2010, 2009, 2008 and 2007 are open for audit.